

MOI HIGH-KABARAK 2025 PREDICTION



Kenya Certificate of Secondary Education

KCSE PREDICTION SERIES 1



565/2

Business Studies

Paper 2

Time: 2½ Hours

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

Kenya Certificate of Secondary Education.

INSTRUCTIONS TO CANDIDATES

- *This paper consists of six questions*
- *Answer any **five** questions*
- *All question carry equal marks*

FOR EXAMINER'S USE ONLY

Question No	1	2	3	4	5	6	TOTAL
Marks							

Answer any **five** questions

1. (a) Explain **five** negative effects of inflation (10mks)
(b) Explain **five** circumstances under which an insurance contract may be terminated (10 mks)
2. (a) Explain **five** ways in which transport promotes the growth of trade. (10mks)
(b) On 1st march 2017 Kamau had cash in hand Ksh 7,800 and a bank overdraft of Ksh 24,300. During the month, the following transactions took place
March 3 cash sales paid directly into the bank Ksh 16,500
4 bought goods for Ksh 15,000 and paid by cheque
6 cash sales Ksh. 50,000
9 received a cheque of ksh 18,000 from Amolo in full settlement of his debt
13 paid insurance premiums of Ksh 16,000 in cash
15 paid Kamotho by cheque Ksh 9,700 in full settlement of his account less 3% cash discount
21 withdrew Ksh 30,000 from bank for office use
24 received a cheque of Ksh 23,750 from Rotich in full settlement of his account less 5% cash discount
25 paid wages in cash Ksh 20,000
30 banked all cash except Ksh 3,000
Required: prepare a three column cash book
3. (a) Explain **five** types of wholesalers who may be found in our country today (10mks)
(b) Explain **five** ways through which the Central Bank regulates economic activities in the Country (10mks)
4. (a) Explain **five** ways of solving unemployment in Kenya (10 mks)
(b) Explain **five** merits of proper filing of documents in an organization. (10mks)
5. (a) Explain **five** shortcomings of using per capita income as a measure of economic welfare (10ks)
(b) Explain **five** benefits that may accrue to a country from trading with other countries.
(10 mks)

6. (a) Demand for bananas in a certain market has been declining over time.

Explain **four** factors that may be responsible for this trend.

(8 mks)

- (b) The following balances were extracted from the books of Nakuru Enterprises as at

30th June, 2022.

Shs

Sales	400,000	
Stock (1 st July, 2021)	5,000	
Stock (30 th June, 2022)	8,000	
Discount received	13,000	
Discount allowed	6,000	
Insurance premium	4,000	
Premises	300,000	
Fixtures and fittings	200,000	
Carriage inwards	7,000	
Carriage outwards	3,000	
Bank loan	23,000	
Bank overdraft	50,000	
Creditors	30,000	
Cash in hand	10,000	
Debtors		12,000
Drawings	14,000	
Capital	340,000	
Gross profit margin	25%	

Prepare;

- i) Nakuru Enterprises profit and loss account for the year ended 30th June 2022. (6 mks)
- ii) Nakuru Enterprises Balance sheet as at 30th June 2022. (8 mks)